Pakistan.[140] Moreover, the US linked any military assistance agreement to the formulation of a five-year Indian defense plan that would lay the basis for more balanced expenditure between development and defense. Given the continuing "truculent and aggressive mood" of China, Nehru agreed.[141]

While there was a sense that the spring 1964 Indian defense plan did not really "relate the defense effort in much detail to India's total economic and fiscal situation," the US succeeded in eliciting a commitment to a ceiling on foreign exchange expenditure for defense procurement.[142] And in June 1964, India and the US signed a memorandum of understanding (MoU). The US agreed to provide India military assistance worth $50 million over the next fiscal year for mountain warfare equipment, communications, and defense production. In addition, the US offered credit for the purchase of military equipment worth $10 million in that fiscal year and $50 million in the next one.[143] The US conditioned the annual extension of military assistance for another four years on Delhi refining the defense plan to reflect a more appropriate balance between defense and development.

To help prop India up internally, the US also continued to support India's development strategy with economic assistance and food aid. In fall 1964, the US and India signed two loan agreements and a one-year PL-480 agreement. Congress also authorized $265 million of economic assistance for India for FY1965, and the next year it would put aside $309 million.[144]

The defense MoU received more attention for what it did not contain than for what it did. The deal left Indian officials disappointed—they had wanted and expected a five-year commitment, as well as high-technology items like supersonic fighter jets. But they were neither willing nor, they argued, able to meet the conditions that might have made the US more forthcoming on these fronts.

For one, Indian officials had a different idea of what constituted the right balance between defense and development expenditure. There were divisions within the Indian government on this question. The US saw Finance Minister Krishnamachari, for example, as an ally in its effort to get India to strike a more appropriate budgetary balance. Defense Minister Chavan, on the other hand, saw the US focus on the defense–development balance as just an excuse not to give India aid. Overall, the Indian leadership did not want to fuel further domestic criticism about its neglect of the defense realm and the lack of defense preparedness.[145]